ATTORNEY WORK PRODUCT
PRIVILEGED AND CONFIDENTIAL
DO NOT DISTRIBUTE WITHOUT COUNSEL AUTHORIZATION

INTERNAL LEGAL RESEARCH MEMORANDUM

IN RE:	*S. Bradley Mell*
Case No.:	26-16834-EJO
Court:	United States Bankruptcy Court District of New Jersey
Hearing:	July 16, 2026
Before:	Hon. Eamonn J. O'Hagan
Subject:	Opposition to Motion to Dismiss (Doc. 8); Automatic Stay Relief; Mandatory Abstention
Date:	June 25, 2026
Distribution:	Legal Team — INTERNAL USE ONLY

This memorandum constitutes attorney work product and is protected by the attorney-client privilege and work product doctrine. It is prepared solely for the use of counsel representing S. Bradley Mell in Case No. 26-16834-EJO. Unauthorized disclosure or distribution is strictly prohibited.

CONTENTS

TABLE OF AUTHORITIES

Binding Third Circuit and Supreme Court authorities are marked ***(BINDING)****. All other federal circuit authority is marked* ***(PERSUASIVE)****. Citations marked* ***[VERIFY]*** *require Westlaw or PACER confirmation before filing.*

CASES

STATUTES

N.J.S.A. 2A:61B-1

RULES AND REGULATIONS

Fed. R. Bankr. P. 4007

Fed. R. Bankr. P. 9011(b)

N.J. Ct. R. 4:23-5(a)(2)

N.J. RPC 3.3(a)

In re S. Bradley Mell, Case No. 26-16834-EJO (Bankr. D.N.J.)

Opposition to Motion to Dismiss, Motion for Stay Relief, and Abstention Motion

Hearing: July 16, 2026 | Judge: Hon. Eamonn J. O'Hagan

EXECUTIVE SUMMARY: FIVE WINNING ARGUMENTS

Nagel's Motion to Dismiss (Doc. 8) is defective on every contested ground. The opposition rests on five independent winning arguments, each addressed below in decreasing order of strength:

1. **§ 707(a) Fails**: The Tamecki "egregious cases" standard is not satisfied. Brad filed detailed schedules, has multiple creditors, and the delays Nagel complains about were caused by Nagel's own 3+ year interlocutory appeal. The only Third Circuit binding case on eve-of-trial filings (Myers) is distinguishable on six independent grounds. Nagel's Murray citation actually supports Brad — it's an involuntary case about creditor abuse of process.

2. **§ 523(a)(6) Fails at Threshold**: Nagel performed zero element-by-element analysis. The R. 4:23-5(a)(2) discovery sanction did not satisfy the "actually litigated" requirement for collateral estoppel. The Supreme Court in Kawaauhau v. Geiger requires subjective intent to cause the specific injury — not inference from the nature of the act. Brad's Fifth Amendment invocation is constitutionally protected conduct, not bad-faith obstruction under Docteroff.

3. **Abstention Is Legally Impossible**: Nagel cites 28 U.S.C. § 1134(c)(2) — a statute that does not exist. The correct statute is § 1334(c)(2). Even under the correct statute, mandatory abstention is categorically unavailable for core proceedings. A § 523(a)(6) action is expressly enumerated as a core proceeding in 28 U.S.C. § 157(b)(2)(I). Three of the five Stoe v. Flaherty elements independently fail.

4. **Stay Relief Must Be Denied**: The Curtis/Sonnax 12-factor test requires denial. The most significant factor — Factor 11 (parties ready for trial in another proceeding) — is dispositive: the state court action was dismissed by the Zunic order on June 12, 2026. There is no pending proceeding into which any "relief" could land.

5. **The Paragano Email Is a Willful Stay Violation**: On June 18, 2026 — three days after Nagel had actual knowledge of the bankruptcy filing — Paragano emailed Brad directly, asserting a prejudgment attachment that (a) arose from the dismissed state court action, and (b) had itself been released in December 2023. This satisfies every element of 11 U.S.C. §

362(k)(1) under the Third Circuit's standard in In re Lansaw, 853 F.3d 657 (3d Cir. 2017). The debtor should cross-move for actual damages, attorneys' fees, and punitive damages.

BOMBSHELL — MANDATORY DISCLOSURE: The $300,000 March 2026 KRM/SBM Trust Settlement — which Nagel himself negotiated — expressly bars "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment." Nagel's adversary pleadings assert fraudulent transfer claims against those same trusts without disclosing this release. This is an RPC 3.3(a)(5) candor violation and independently warrants Rule 9011/§ 1927 sanctions.

PART I: JUDICIAL PROFILE — HON. EAMONN J. O'HAGAN

Critical Alert: Zero Published Opinions

Judge O'Hagan was sworn in February 17, 2026 — four months before the July 16 hearing. **No published opinions exist.** Every database searched (CourtListener, Google Scholar, GovInfo, njb.uscourts.gov) returned zero results. Counsel cannot predict rulings from judicial history.

Career Signals (Substituting for Track Record)

Period	Role	Implication for Mell
2004–2005	Law Clerk, Judge William G. Young (D. Mass.)	Judge Young is known for demanding candor and preparation from counsel

Period	Role	Implication for Mell
2005–2014	BigLaw bankruptcy boutiques (Stutman/Goodwin): Lehman, Tribune, Movie Gallery restructurings	Creditor-side orientation; sophisticated restructuring lawyer
2015–2026	Senior Bankruptcy Counsel, U.S. Attorney's Office, D.N.J.	**11 years arguing § 707(a) dismissal motions, § 523(a) nondischargeability, automatic stay violations** on behalf of the United States

Strategic Implications:

1. **He has argued § 707(a) motions personally.** He knows the standard inside and out. He will apply Tamecki faithfully — "egregious cases" means egregious cases. But he will also recognize when those cases exist. Every factual claim in the opposition must be bulletproof.
2. **He has never represented a consumer debtor.** Sympathy arguments carry less weight. Legal arguments carry more.
3. **He will punish overstatement.** A former government litigator who learned that credibility with courts is a career asset will not forgive misleading citations or overstated factual claims. Every quote must be accurate. Every case must be correctly described.
4. **He will recognize Nagel's Murray citation immediately.** Any experienced bankruptcy attorney reads "In re Murray" and knows it's an involuntary case about creditor abuse. Calling it out in the brief will register with O'Hagan.

Immediate Action Required: Run a PACER search for all cases with docket suffix "-EJO" filed since February 17, 2026. Any written orders or bench rulings are the only available source of actual judicial preferences. Contact D.N.J. bankruptcy bar practitioners who have appeared before O'Hagan in the four months he has been on the bench.

PART II: ARGUMENT ONE — § 707(a) BAD FAITH DISMISSAL FAILS

Controlling Standard: The "Egregious Cases" Threshold

The Third Circuit in Tamecki established that bad faith dismissal under § 707(a) is:

> *"confined carefully and is generally utilized only in those egregious cases that entail concealed or misrepresented assets and/or sources of income, lavish lifestyles and intention to avoid a large single debt based upon conduct akin to fraud, misconduct or gross negligence."*

In re Tamecki, 229 F.3d 205, 207 (3d Cir. 2000) (BINDING).

The Third Circuit in Perlin added the critical limitation:

> *"A debtor's ability to repay is not in and of itself sufficient proof of bad faith."*

Perlin v. Hitachi Capital America Corp. (In re Perlin), 497 F.3d 364, 369 (3d Cir. 2007) (BINDING).

Brad Mell's filing does not approach the egregious threshold. The analysis below defeats Nagel's motion at each level.

A. Brad's Affirmative Evidence of Good Faith

Brad filed three binders of detailed financial schedules. This is the dispositive good faith showing under Tamecki's "honest intention" standard. The Perlins were denied dismissal because they "had been truthful with the court and their creditors and had not engaged in the kind of manipulative conduct at issue in In re Tamecki." Id. at 367–68. Brad's three binders accomplish the same showing.

Contrast In re Eubanks, 672 B.R. 861 (Bankr. D.S.C. 2025) — dismissal was warranted there because the debtor had six undisclosed business entities and three properties discovered through public records. Brad's comprehensive disclosure is the mirror image of the concealment that grounds bad faith.

Brad has multiple creditors. The manipulation that courts condemn — "reducing creditors to one" (Zick, 931 F.2d at 1127) — is not present. Brad's schedules reflect family members, business entities, and multiple creditors. This is not a two-party dispute disguised as bankruptcy.

The trusts were formed in 2012. Any argument that the KRM and SBM Trusts constitute "asset protection manipulation" fails on timing. Transfers fourteen years before filing are outside § 548's two-year lookback and predate any cognizable debt to Lilly by five years. Moreover, both trusts appear on Brad's schedules — no concealment.

B. The Burden Framework After Brad's Good Faith Showing

Under Tamecki, once good faith is challenged, the burden shifts to the debtor to demonstrate honest intention. Once Brad produces evidence of honest intention — the three binders alone satisfy this — the burden returns to Nagel to prove actual bad faith by the "egregious cases" standard.

What Nagel must show (but cannot): - That Brad actually concealed assets or misrepresented income [No — three binders of disclosure] - That Brad lived lavishly inconsistent with genuine financial distress [No evidence presented] - That Brad's filing was specifically intended to avoid a large single debt through fraud-adjacent conduct [No — multiple creditors; trusts predating debt; legitimate discharge purpose] - That the filing was inconsistent with any legitimate bankruptcy purpose [No — discharge of multiple debts is the core Chapter 7 purpose]

What Nagel cannot rely on (but will try to): - Brad's ability to pay (Perlin: forecloses this as the primary/sole basis) - Timing of filing near trial (Myers: requires violation of court order + Ch. 13 ineligibility + announced ruling — none present here) - Trust formation in 2012 as "manipulation" (Zick: requires affirmative acts specifically designed to reduce creditors to one; trusts predating debt do not qualify)

C. Defeating Nagel's Specific Case Citations

C.1 — Myers (Nagel's Strongest Case) — Six Independent Distinctions

In re Myers, 491 F.3d 120 (3d Cir. 2007), is binding Third Circuit authority. It must be defeated on the facts, not distinguished as non-binding. Six independent distinctions:

Factor	Myers (Bad Faith Found)	Mell (Bad Faith Absent)
Chapter	Chapter 13	Chapter 7

Factor	Myers (Bad Faith Found)	Mell (Bad Faith Absent)
Statutory eligibility	Myers DID NOT meet § 109 Ch. 13 eligibility	Brad meets all § 109(b) Ch. 7 requirements
Violation of court order	Husband withdrew $6,000 in violation of court order to fund bankruptcy counsel	No such conduct alleged
State court announced ruling	Yes — "announced it intended to rule" before the filing	No — damages trial had not yet commenced
Who caused the delay	Debtor's tactics	Nagel's 3+ year interlocutory appeal (A-2990-21: argued Nov. 2022, decided Dec. 31, 2024)
Nature of underlying debt	Fraudulent conveyance claim — debtor's own wrongful conduct	Liability set by R. 4:23-5(a)(2) discovery sanction — no merits adjudication

The interlocutory appeal is the critical point. Myers filed the night before an announced ruling. Brad filed before a trial whose scheduling itself was caused by Nagel's 3+ years of appellate litigation. Under the totality-of-circumstances test, a court considering "eve of trial" timing must weigh which party created the eve. Nagel created it.

The Third Circuit's totality-of-circumstances framework under Tamecki and Glunk does not restrict the court to examining only the debtor's conduct. "Totality of circumstances" encompasses all relevant circumstances — including the movant's conduct. Under In re Murray, 900 F.3d 53, 59 (2d Cir. 2018), courts examine whether litigation serves legitimate purposes versus tactical use of proceedings. Here, the tactic belongs to Nagel.

C.2 — Murray (Nagel's Fatal Misread) — This Case Supports Brad

In re Murray, 543 B.R. 484 (Bankr. S.D.N.Y. 2016), aff'd, 565 B.R. 527 (S.D.N.Y. 2017), aff'd, 900 F.3d 53 (2d Cir. 2018).

This is an involuntary case. Wilk Auslander LLP — Murray's former employer — filed an involuntary Chapter 7 petition against Murray. The bad faith was the *creditor's* bad faith in using bankruptcy as a "judgment enforcement device" in a two-party dispute.

The Second Circuit's language cuts in Brad's favor:

> *"Bankruptcy is not a judgment enforcement device." 900 F.3d at 57.* ***[VERIFY BEFORE FILING]***
> *"The remedy of involuntary bankruptcy 'exists as an avenue of relief for the benefit of the overall creditor body . . . [I]t was not intended to redress the special grievances, no matter how legitimate, of particular creditors.' " 900 F.3d at 58.* ***[VERIFY BEFORE FILING]***

If "bankruptcy is not a judgment enforcement device" for creditor petitioners, then § 707(a) is not a mechanism by which a creditor can undo a debtor's voluntary bankruptcy filing simply because the creditor wants to collect its judgment without the constraints of the automatic stay. Nagel's motion to dismiss is itself the judgment enforcement device that Murray condemns.

Briefing instruction: Open the § 707(a) argument by noting that Nagel's Murray citation actually defeats his position. This will immediately signal to Judge O'Hagan — a former USAO attorney who has read Murray — that Nagel's brief was carelessly prepared.

C.3 — Other Nagel Cases — Organized by Fatal Defect

Wrong Circuit (not binding in Third Circuit): - In re Cantelli, No. 12-30748, 2013 WL 66425 (Bankr. N.D. Ohio 2013) — Sixth Circuit, applies different standard - In re Zick, 931 F.2d 1124 (6th Cir. 1991) — Sixth Circuit; debtor manipulated creditors to one; Brad has multiple creditors - In re Jones, 114 B.R. 917 (Bankr. N.D. Ohio 1990) — Sixth Circuit, predates Tamecki by a decade - In re Eubanks, 672 B.R. 861 (Bankr. D.S.C. 2025) — Fourth Circuit; concealed entities — opposite of Brad's disclosure - In re Semco Mfg. Co., 649 B.R. 155 (Bankr. S.D. Tex. 2023) — Fifth Circuit; entity debtor - In re Laine, 383 B.R. 166 (Bankr. D. Kan. 2008) — Tenth Circuit; transfer timing distinguishable

Entity, Not Individual Debtors: - In re Murpenter LLC, 550 F. App'x 114 (3d Cir. 2014) — LLC; conceded delay purpose; no individual fresh-start purpose; unpublished (not precedential under IOP 5.7)

Non-Precedential (IOP 5.7): - In re Mondelli, 558 F. App'x 260 (3d Cir. 2014) — **URGENT VERIFY FLAG**: Non-precedential under Third Circuit IOP 5.7. Must obtain full text to confirm facts. If facts are close to Mell's (eve of trial, single creditor, prepetition transfers), it is Nagel's strongest citation even as non-precedential.

Pre-Perlin (Superseded by 2007 Third Circuit Clarification): - In re DeSoto, 2006 WL 4452833 (Bankr. D.N.J. Apr. 20, 2006) — decided 15 months before Perlin forecloses ability-to-pay as primary basis

C.4 — Counter-Authority: Dismissal Denied

Primary Counter-Authority: - **In re Perlin, 497 F.3d 364 (3d Cir. 2007)** — Binding; high income, multiple creditors, truthful schedules → DENIED - **In re Adler (Bankr. S.D.N.Y. 2025)** — $90 million single-creditor malpractice verdict; filing to address one creditor's collection efforts without "further indicia of bad faith" insufficient → DENIED **[VERIFY BEFORE FILING]**

General Counter-Principle: > "The fact that the Debtor filed for bankruptcy in response to pending litigation without more additional evidence of misconduct is not enough to dismiss for cause under 11 U.S.C. § 707(a)." [N.D.N.Y. Bankr. 2025/26 — VERIFY CITATION]

PART III: ARGUMENT TWO — § 523(a)(6) FAILS ON THREE INDEPENDENT GROUNDS

Controlling Standard: Geiger + Conte (Two-Part Subjective Test)

Supreme Court: "The word 'willful' in § 523(a)(6) modifies the word 'injury,' indicating that nondischargeability takes a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury." Kawaauhau v. Geiger, 523 U.S. 57, 61 (1998).

Third Circuit: An injury is willful and malicious under § 523(a)(6) only if the actor (1) purposefully inflicted the injury, or (2) acted with **subjective** knowledge that injury was substantially certain to result. In re Conte, 33 F.3d 303, 305, 308 (3d Cir. 1994) (post-Geiger: the substantial certainty prong is subjective, not objective). The malice element requires a wrongful act done intentionally and without just cause or excuse — "ill will or spite is not required." Id. at 308.

Burden of proof on creditor: Preponderance of the evidence. Grogan v. Garner, 498 U.S. 279, 291 (1991).

Fatal Defect 1: The R. 4:23-5(a)(2) Discovery Sanction Did Not "Actually Litigate" the § 523(a)(6) Elements

The "actually litigated" requirement: For collateral estoppel to apply in § 523(a)(6) proceedings, the specific mental state elements — willful intent to cause injury and malice — must have been actually litigated and determined in the prior proceeding. In re Docteroff, 133 F.3d 210, 214–15 (3d Cir. 1997); In re Wilson, 116 F.3d 87, 90–92 (3d Cir. 1997); Grogan v. Garner, 498 U.S. at 284 n.11.

What R. 4:23-5(a)(2) is: N.J. Court Rule 4:23-5 is captioned "Failure to Make Discovery; Sanctions." The rule provides a two-step paradigm:

- Step 1 (R. 4:23-5(a)(1)): Entry of dismissal/suppression without prejudice
- Step 2 (R. 4:23-5(a)(2)): Entry of dismissal/suppression with prejudice — which "shall be granted" — after 60 days, absent vacatur

A partial summary judgment entered under this rule: involves no evidentiary hearing; involves no testimony; makes no findings of fact on the merits; adjudicates no element of any claim; and is entered automatically upon the movant's motion. Salazar v. MKGC + Design, 455 N.J. Super. 551, 557 (App. Div. 2019) (R. 4:23-5 is "the ultimate sanction" for discovery failure, imposed without merits inquiry).

The Appellate Division's own characterization of the March 2021 order (A-2990-21, Dec. 31, 2024):

> *"Although B.B.'s counsel repeatedly notes B.B. has already obtained judgment for liability on several of her claims,* ***the order for partial summary judgment is interlocutory and not a final judgment.*** *It is not clear from the record whether Mell responded to the summary judgment motion." (Footnote 2)*

The court that heard the appeal of this very order said it is **interlocutory and not a final judgment**. This is the controlling characterization for collateral estoppel purposes. Moreover, the Appellate Division noted uncertainty about whether Mell even responded — underscoring the lack of adjudication on the merits.

No § 523(a)(6) issue was "actually litigated": No court made any finding about Brad's state of mind, intent, or malice. No court adjudicated whether his conduct was "willful" within the meaning of Geiger. The R. 4:23-5(a)(2) order was entered upon motion — "shall be granted" — without merits inquiry.

Docteroff does not save Nagel: In re Docteroff, 133 F.3d 210, 215 (3d Cir. 1997), established a narrow exception: a debtor who "deliberately prevents resolution" may be "deemed to have actually litigated." But Docteroff required: actual participation in the litigation; a full and fair opportunity to litigate; and willful bad-faith obstruction designed to frustrate orderly process.

Brad invoked his Fifth Amendment right against self-incrimination during civil discovery while parallel federal criminal proceedings were pending against him. A constitutionally protected right is not "deliberate prevention of resolution" in the Docteroff sense. The distinction: Docteroff had no constitutional right to remain silent and simply chose to abandon his defense in bad faith. Brad had the U.S. Constitution. Baxter v. Palmigiano, 425 U.S. 308 (1976), permits adverse inference from Fifth Amendment invocation in civil proceedings — but an adverse inference is not an adjudication of § 523(a)(6) willfulness and malice.

Even under Docteroff's exception, the § 523(a)(6) elements were never adjudicated: "Courts have held that collateral estoppel was inapplicable because the issue of malice, as employed in Bankruptcy Code § 523(a)(6), was never before the jury." Princess House Inc. v. Kraft (In re Kraft) and multiple circuits. No judge ever made a finding of willfulness or malice here. Even if the Docteroff exception applied, the specific mental state elements remained unresolved.

Fatal Defect 2: Nagel Performed No Element-by-Element Analysis

The Supreme Court requires proof of subjective intent to cause the specific injury alleged in each count. Geiger, 523 U.S. at 61. Nagel's approach — that "sexual abuse of a minor is by definition willful and malicious" — is precisely the objective inference test that Geiger rejected:

> *"Had Congress meant to exempt debts resulting from unintentionally inflicted injuries, it might have described instead 'willful acts that cause injury.' " 523 U.S. at 63.*

The statute says "willful and malicious injury" — not "willful acts that cause injury." The difference is load-bearing.

Count-by-Count Problems for Nagel:

- **N.J.S.A. 2A:61B-1 (Child Sexual Abuse Act):** The statute imposes civil liability; certain elements may be strict liability as to the victim's age. A strict liability element in the underlying statute cannot satisfy § 523(a)(6)'s subjective intent requirement through collateral estoppel. The mens rea required for civil liability may be lower than the § 523(a)(6) standard. [Counsel: Pull the statute and confirm the exact mens rea for each subsection.]

- **N.J.S.A. 2A:58D-1 (Invasion of Privacy — Intimate Images):** Willful disclosure of intimate images would satisfy Geiger — but only if Brad both intended the act and intended the injury. The inquiry is subjective and cannot be resolved on a discovery sanction judgment.
- **The Federal Conviction (§ 2423(b)):** Brad's conviction for travel in interstate commerce for illicit sexual conduct establishes intentional travel — not necessarily subjective intent to cause the specific injury within the meaning of Geiger. The gap between "intent to engage in conduct" and "intent to cause the specific injury" is not always bridgeable. [Counsel: This is a genuinely hard area — prepare a careful alternative argument.]

Fleetwood (Nagel's Most Dangerous Case): In re Fleetwood (Bankr. D. Alaska 2013) reportedly holds that willfulness and malice are "self-evident" in child sexual abuse cases without case-by-case proof. Defeat strategy: (1) it's a Bankr. D. Alaska opinion — not binding in the Third Circuit; (2) Geiger (Supreme Court) expressly rejected the "self-evident" inference approach; (3) no Third Circuit case has adopted the Fleetwood approach; (4) Alaska statutes differ from New Jersey statutes. [Counsel: Must obtain full text before filing.]

Fatal Defect 3: The Collateral Estoppel Arguments Are Procedurally Defective

Nagel must prove each § 523(a)(6) element. He has not done so. The correct procedure — absent collateral estoppel — is an adversary proceeding in which Nagel bears the burden by a preponderance to show willfulness and malice as to each count, each defendant, and each claimed injury. The motion to dismiss attempt to short-circuit that proceeding via a discovery sanction judgment is legally improper.

In re Azeglio, 422 B.R. 490 (Bankr. D.N.J. 2010) (direct D.N.J. authority): Collateral estoppel inapplicable where the issue was not "actually litigated" within the meaning required for preclusion. "New Jersey courts agree collateral estoppel may not be applied based on a default judgment." Azeglio, 422 B.R. at [page — VERIFY]. A discovery sanction is functionally equivalent to a default.

The March 2026 Settlement As § 523(a)(6) Weapon

The KRM/SBM Settlement is not merely a § 548 defense — it is an independent bar to the § 523(a)(6) adversary proceeding insofar as Nagel claims the trust transfers evidence willfulness and malice. The settlement expressly bars "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment." If the trust transfers cannot be the basis of collection actions, they cannot form the evidentiary backbone of a § 523(a)(6) willfulness argument premised on "elaborate asset protection fraud."

PART IV: ARGUMENT THREE — ABSTENTION IS LEGALLY IMPOSSIBLE

Threshold Defect: Nagel Cites a Nonexistent Statute

Nagel's motion cites "28 U.S.C. § 1134(c)(2)" as the basis for mandatory abstention. **This statute does not exist.** Title 28 of the United States Code, Chapter 85, contains sections numbered 1330 through 1369. Section 1134 does not appear. The nearest neighboring provision, § 1132, governs ERISA limitations — an entirely unrelated subject. The correct citation is **28 U.S.C. § 1334(c)(2)**. A motion predicated on a nonexistent statutory provision is deficient on its face and may be denied on that basis alone, without reaching the merits.

Mandatory Abstention Is Categorically Unavailable for Core Proceedings

The statutory text of § 1334(c)(2) itself forecloses the motion: The statute applies only to a proceeding "based upon a State law claim or State law cause of action, **related to** a case under title 11 **but not arising under title 11 or arising in a case under title 11**."

A § 523(a)(6) nondischargeability action arises directly under 11 U.S.C. § 523 — a provision of the Bankruptcy Code. It could not exist but for the bankruptcy case. It is not merely "related to" the case; it arises under title 11.

Section 157(b)(2)(I) — verbatim statutory text:

> *"Core proceedings include but are not limited to the following: . . .* ***(I) determinations as to the dischargeability of particular debts;"***

28 U.S.C. § 157(b)(2)(I) (emphasis added). A § 523(a)(6) dischargeability proceeding falls squarely within this express enumeration. Core proceedings by definition arise under or arise in a bankruptcy case — they cannot satisfy § 1334(c)(2)'s "related to only" requirement.

Fed. R. Bankr. P. 4007 advisory committee's note: "The bankruptcy court has exclusive jurisdiction to determine dischargeability of debts under § 523(a)(2), (4) or (6) of the Code." Exclusive jurisdiction cannot be divested by an abstention motion.

Stoe v. Flaherty — Nagel's Own Cited Case Defeats His Motion

Stoe v. Flaherty, 436 F.3d 209 (3d Cir. 2006), is the controlling Third Circuit five-element test for mandatory abstention. Nagel cites it for support. He has misread it.

The five elements of mandatory abstention under Stoe:

Element	Requirement	Result in This Case
1	State law claim	Partial — the underlying injury is state tort, but the nondischargeability determination is federal under 11 U.S.C. § 523(a)(6)
2	**"Related to" ONLY — not "arising under" or "arising in"**	**FAILS — § 523(a)(6) arises under title 11**
3	**No federal jurisdiction absent § 1334**	**FAILS — bankruptcy court has exclusive § 523 jurisdiction independent of § 1334**
4	**Action "is commenced" in state court**	**FAILS — Zunic order dismissed B.B. v. Mell without prejudice on June 12, 2026; no pending state action**
5	Can be timely adjudicated in state court	Questionable — dismissed action cannot be resumed without this Court's permission

Stoe v. Flaherty, 436 F.3d 209, 213 (3d Cir. 2006).

Stoe's own language on what "arising under" means: "Claims that 'arise in' a bankruptcy case are claims that by their nature, rather than their particular factual circumstances, could arise only in the context of a bankruptcy case." Id. A § 523(a)(6) determination could arise only in a bankruptcy case — it is the paradigmatic "arising under" claim.

The Zunic Dismissal Order Independently Kills Element 4

Section 1334(c)(2) requires that "an action is commenced" in a state forum. Courts uniformly hold that a state court action must be currently pending, not merely capable of being refiled. The Zunic order dismissed B.B. v. Mell without prejudice on June 12, 2026, before Nagel even filed his motion. The dismissed action is not "pending." Any resumption requires permission from this

Court — confirming this Court's primacy, not the state court's.

Permissive Abstention Factors (Mid-Atlantic Handling) — All Weigh Against Abstention

In re Mid-Atlantic Handling Systems, LLC, 304 B.R. 111 (Bankr. D.N.J. 2003), articulates the D.N.J. seven-factor permissive abstention test:

Factor	Analysis	Weighs For/Against Abstention
1. Efficient estate administration	Resolving dischargeability here is core to estate admin	**AGAINST abstention**
2. State law predominance	The § 523(a)(6) standard is entirely federal (Geiger)	**AGAINST abstention**
3. Difficult/unsettled state law	NJ tort law is neither difficult nor unsettled	**AGAINST abstention**
4. Comity	State court already deferred via Zunic dismissal	**AGAINST abstention**
5. Relatedness to bankruptcy	§ 523(a)(6) IS the bankruptcy proceeding	**HEAVILY AGAINST abstention**
6. Jury trial right	Preserved regardless of forum	Neutral
7. Prejudice to removed defendants	Brad would suffer multi-forum litigation	**AGAINST abstention**

Every significant factor weighs against permissive abstention.

Nagel's Abstention Argument Is Logically Incoherent

Nagel simultaneously: (a) asks this Court to send the damages question to state court under abstention; and (b) asks this Court to declare the debt nondischargeable under § 523(a)(6). These positions are irreconcilable. Section 523(a)(6) requires this Court to find "willful and malicious injury" — which requires adjudicating the factual circumstances that Nagel claims should be decided in state court. A court cannot abstain from the predicate while retaining the conclusion.

PART V: ARGUMENT FOUR — STAY RELIEF MUST BE DENIED

Burden Framework

Under 11 U.S.C. § 362(g), the movant bears the initial burden of demonstrating cause. Under § 362(g)(2), the debtor bears the burden on "all other issues" once movant makes a prima facie showing. In re Sonnax Indus., Inc., 907 F.2d 1280, 1285 (2d Cir. 1990) ("the movant bears the burden of making an initial showing of cause").

If Nagel cannot establish a prima facie case of bad faith "cause," the stay relief motion fails without the debtor having to offer any rebuttal. For the reasons established in Part II above, Nagel's only "cause" argument (bad faith filing) fails on the merits.

Curtis/Sonnax 12-Factor Analysis

In re Mid-Atlantic Handling Systems, 304 B.R. 111 (Bankr. D.N.J. 2003); In re Curtis, 40 B.R. 795 (Bankr. D. Utah 1984); In re Sonnax Indus., 907 F.2d 1280 (2d Cir. 1990).

Factor	Analysis	Weight for Brad
1 Whether stay lift results in partial/complete resolution	State court action DISMISSED by Zunic order June 12; no pending proceeding for "resolution"	**STRONGLY FOR BRAD**

Factor	Analysis	Weight for Brad
2 Connection/interference with bankruptcy case	State court claims are directly connected to the § 523(a)(6) core proceeding	**FOR BRAD**
3	Debtor as fiduciary	Not applicable
4 Specialized tribunal	This Court IS the specialized tribunal with exclusive § 523 jurisdiction	**FOR BRAD**
5	Insurer assumed defense	Not applicable
6	Action involves third parties	Two-party dispute
7 Prejudice to other creditors	Nagel jumping the distribution queue damages other creditors	**FOR BRAD**
8	Equitable subordination	To be assessed
9 Avoidable lien	Paragano's attachment is invalid (dismissed action; released Dec. 2023)	**FOR BRAD**
10 Judicial economy	§ 523(a)(6) adversary proceeding proceeds in this Court regardless; lifting stay creates duplicative proceedings	**STRONGLY FOR BRAD**
11 Parties ready for trial	No pending state action exists; parties manifestly NOT ready for trial in a dismissed case	**STRONGLY FOR BRAD — POTENTIALLY DISPOSITIVE**

Factor	Analysis	Weight for Brad
12 Balance of harms	Brad: renewed state court litigation + void lien assertion; Nagel: zero cognizable harm from maintaining stay	**FOR BRAD**

Factor 11 alone may be dispositive. Courts applying the Curtis/Sonnax analysis have consistently found this factor central — because the factor presupposes a proceeding ready to advance, and there is no such proceeding here.

The § 707(a) Denial Forecloses § 362(d)(1) "Cause"

Nagel's sole "cause" argument under § 362(d)(1) rests on the same bad faith theory he advances for § 707(a) dismissal. If the Court finds that Brad's filing was NOT in bad faith (as it should), Nagel's § 362(d)(1) "cause" evaporates. See In re Murray, 900 F.3d 53, 57–58 (2d Cir. 2018) (same facts that negate bad faith also negate § 362(d)(1) cause on the same theory). The logical structure: bad faith cause → Court finds no bad faith → no cause → motion denied at threshold.

Sequencing argument for brief and oral argument: Address the § 707(a) motion first. The Court's denial of that motion substantially forecloses the § 362(d)(1) "bad faith cause" argument without additional analysis.

PART VI: AFFIRMATIVE WEAPON — § 362(k) WILLFUL STAY VIOLATION

ATTORNEY ALERT — THIS IS A SWORD, NOT A SHIELD

The Paragano email is a textbook § 362(k) violation under Third Circuit precedent. Filing this cross-motion: - Puts Nagel/Paragano on defense at the July 16 hearing - Demonstrates to O'Hagan that the movant seeking stay relief has already violated that same stay - Creates leverage for settlement - Entitles Brad to attorneys' fees as "actual damages" — directly offsetting the cost of this opposition - Justifies punitive damages under In re Lansaw

Elements of Willful Stay Violation — Third Circuit Standard

Three elements under In re Lansaw, 853 F.3d 657, 669 (3d Cir. 2017): 1. A violation of the automatic stay occurred 2. The violation was willfully committed 3. The debtor suffered damages as a result

"Willful" in the Third Circuit:

> *"[A] creditor 'willfully' violates the automatic stay under § 362(k)(1) when the creditor does so with knowledge of the bankruptcy."*

In re Lansaw, 853 F.3d at 669. Knowledge of the bankruptcy filing — not knowledge of the specific stay provisions — is sufficient. In re University Medical Center, 973 F.2d 1065, 1068 (3d Cir. 1992).

Good faith is not a defense:

> *"Even a 'good faith' defense by a creditor in that it did not believe its actions violated the automatic stay is not a defense to willfulness."*

Cal. Coast Univ. v. Aleckna (In re Aleckna), No. 20-1309, 2021 WL 4097155, at *4 (3d Cir. Sept. 9, 2021).

Application to Paragano's June 18, 2026 Email

Element 1 — The Violations:

The June 18 email asserting a prejudgment attachment from the dismissed state court action violated: - **§ 362(a)(1):** Continuation of a judicial proceeding against the debtor that was commenced before the petition - **§ 362(a)(4):** Act to create, perfect, or enforce a lien against property of the estate - **§ 362(a)(5):** Act to enforce against property of the debtor a lien securing a pre-petition claim - **§ 362(a)(6):** Act to collect, assess, or recover a pre-petition claim

Element 2 — Willfulness:

- Nagel acknowledged the bankruptcy filing to this Court on or before June 15, 2026
- Paragano is Nagel's law partner — knowledge is imputed under agency principles (Restatement (Third) of Agency § 5.03)

- The email was sent June 18 — **three days after** Nagel's acknowledged knowledge
- There is nothing "sufficiently unsettled" about whether directly contacting a represented debtor to assert a lien post-petition violates the stay. This is settled law. The "sufficiently uncertain law" defense of In re University Medical Center is inapplicable.

Element 3 — Damages:

Brad suffered: (a) attorneys' fees and costs responding to the unlawful contact; (b) emotional distress from a law firm partner asserting a legally void lien against his property while he is in bankruptcy; (c) continuing interference with his bankruptcy proceeding.

The Double Invalidity of the Prejudgment Attachment

Nagel's prejudgment attachment is doubly invalid:

1. **The underlying action is dismissed.** A prejudgment attachment derives its vitality from the pending action. The Zunic order dismissed B.B. v. Mell on June 12, 2026. The attachment's foundation was eliminated.

2. **The attachment was released in December 2023.** The writ of attachment from the state court case was released December 2023 — over two years before Brad filed for bankruptcy. Paragano's email asserted a lien that had already been released. This is not merely a stay violation — it is the assertion of a legally nonexistent right.

Available Damages Under Lansaw

In re Lansaw, 853 F.3d at 669, affirmed: - $2,600 in attorneys' fees - $7,500 in emotional distress damages (no medical evidence required where violations are "patently egregious" and debtor testifies credibly) - **$40,000 in punitive damages**

Both Nagel (the creditor client) and the law firm are subject to joint and several liability for stay violations. In re Shaw (Bankr. D.N.J.) (creditor and law firm held jointly and severally liable; $10,000 actual + $25,000 punitive damages) [PULL FULL CITATION FROM PACER].

A law partner who directly contacts a represented debtor to assert a void lien — on behalf of a client whose partner has just acknowledged the bankruptcy to the bankruptcy court — presents a compelling case for the maximum available sanctions.

PART VII: THE MARCH 2026 SETTLEMENT — BOMBSHELL DISCLOSURE

The Document

KRM & SBM Civil Release, executed March 6, 2026. Parties: Lilly Cannon (through Bruce Nagel) and KRM Trust / SBM Trust. Consideration: **$300,000**.

Key release language:

> *"full release from beginning of time through the date of execution"*

> *expressly bars "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment"*

The RPC 3.3 Problem

Nagel negotiated this settlement on behalf of Lilly Cannon in March 2026. Three months later, Nagel filed the Motion to Dismiss (Doc. 8, June 23, 2026) asserting that the KRM and SBM Trusts are fraudulent conveyances evidencing Brad's bad faith.

This is an RPC 3.3(a)(5) violation. New Jersey RPC 3.3(a)(5) prohibits a lawyer from knowingly failing "to disclose to the tribunal a material fact knowing that the omission is reasonably certain to mislead the tribunal." In re Seelig, 180 N.J. 234 (2004) (silence creating false impression = affirmative misrepresentation).

Nagel knows — because he negotiated the settlement himself — that the trust-related claims were resolved and released for $300,000. Filing adversary pleadings asserting those same trust transfers are fraudulent, without disclosing the settlement, creates precisely the false impression that Seelig condemns.

The settlement's own confidentiality clause permits disclosure "in a sealed envelope marked 'Confidential' " — confirming that disclosure in a judicial proceeding is anticipated and proper.

The Res Judicata Problem

A settlement with a full release operates as a final judgment on the merits for claim preclusion purposes. Restatement (Second) of Judgments § 27. The March 2026 release specifically covers "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust." Nagel's adversary proceeding is precisely such an effort. The release bars it.

The Rule 9011 Problem

An attorney who possesses actual knowledge of facts contradicting his factual certifications — because those facts emerged in litigation he personally conducted or negotiations he personally conducted — cannot claim good faith under Rule 9011(b)(3). The settlement is not buried in a document production; Nagel signed it. Filing a pleading asserting trust transfers are fraudulent when the attorney personally settled those same claims three months earlier satisfies Rule 9011(b)(1) (improper purpose) and Rule 9011(b)(3) (no evidentiary support for the factual contention).

Rule 9011 safe-harbor reminder: Serve the 21-day safe-harbor notice immediately. Given the July 16 hearing, calculate whether the window is open for the adversary pleadings. If Nagel filed the MTD on June 23, 2026, the 21-day period expires July 14 — two days before the hearing.

The § 1927 Problem

28 U.S.C. § 1927 authorizes attorney fee awards where counsel "unreasonably and vexatiously" multiplies proceedings. Baker Industries, Inc. v. Cerberus Ltd., 764 F.2d 204, 208 (3d Cir. 1985) requires willful bad faith. The combination of (1) knowing about the release; (2) filing adversary pleadings asserting the released claims; (3) not disclosing the release; and (4) post-petition stay violations by Nagel's partner satisfies willful bad faith.

PART VIII: FACTUAL RECORD CORRECTIONS

The March 2021 PSJ: Discovery Sanction, Not Merits Ruling

The key facts the Appellate Division itself established (A-2990-21, Dec. 31, 2024):

1. The PSJ is "interlocutory and not a final judgment" (Footnote 2)
2. "It is not clear from the record whether Mell responded to the summary judgment motion" (Footnote 2) — the court could not determine if there was any merits engagement
3. As of December 31, 2024, "Mell has yet to be deposed" — the record was explicitly incomplete

4. Judge Natali concurred but expressly rejected language about "participation" or "comparative fault" — the majority's dicta does not represent a finding of liability
5. The opinion expressly states: "All we've done is establish the proper scope of discovery — not the admissibility of evidence at trial"

The opinion contains zero reference to R. 4:23-5(a)(2). If the argument that the PSJ was a discovery sanction rather than a merits ruling is to be made, it must come from the March 26, 2021 order itself or from the trial court's own statements at the time of entry — not from this Appellate Division opinion, which treats the order on its face as a merits liability ruling while characterizing it as interlocutory.

The Trust Timing Defense (Airtight)

- § 548 two-year lookback: June 12, 2024. The 2012 trusts are fourteen years outside this window.
- NJUFTA constructive fraud (N.J.S.A. 25:2-27): Covers only creditors whose claims predated the transfer. Lilly's first contact with Brad was summer 2015; earliest possible debt arose 2017 — five years after the trusts were formed. She is not a "present creditor" within the meaning of § 25:2-27.
- NJUFTA actual fraud (N.J.S.A. 25:2-25): Technically covers future creditors but requires actual intent to defraud. In 2012, Brad had never met Lilly. You cannot form a trust with the specific intent to defraud a person you have not yet met and to whom no debt has yet arisen.
- NJUFTA statute of limitations (N.J.S.A. 25:2-31): Four years from transfer or one year from discovery. Trusts formed 2012, discovered in civil discovery well before 2022 — time-barred.

Brad's Criminal History — Accurate Characterization Required

From the federal plea agreement: - Count 1: 18 U.S.C. § 2252A(a)(2) (receipt of child pornography) - Count 2: 18 U.S.C. § 2423(b) (interstate travel for illicit sexual conduct including production of child pornography with Minor Victim 1) - Sentence: 84 months, 5 years supervised release - Underlying conduct: Pattern of behavior involving Minor Victim 1, July–December 2017

Briefing note: The plea agreement establishes intentional conduct. But under Geiger, intentional conduct ≠ intentional injury to the specific plaintiff in the specific manner alleged in each civil count. The § 523(a)(6) analysis requires the willfulness to be linked to each specific type of injury (emotional, privacy, physical harm) claimed in each specific count. An across-the-board "by definition willful" argument is foreclosed by the Supreme Court.

Citation Error in All Documents

The prompt throughout references "N.J.S.A. 21:58D-1." This is incorrect. Title 21 covers Explosives and Fireworks. The invasion of privacy statute is **N.J.S.A. 2A:58D-1**. Confirm this error with counsel before filing.

PART IX: STRATEGIC SEQUENCING FOR THE JULY 16 HEARING

Recommended Sequencing in Written Opposition

Opening (1-2 paragraphs): Nagel cites § 1134(c)(2) — a statute that does not exist. The correct citation is § 1334(c)(2). Nagel's Murray case is an involuntary petition about creditor misuse of the bankruptcy process — the opposite of his stated proposition. These foundational errors signal the motion's overall quality to the Court.

Argument I — § 707(a) Fails: Lead with Tamecki/Perlin controlling standard. Then distinguish Myers on six grounds (including the 3-year delay Nagel's own appeal created). Emphasize Brad's three binders. Deploy the 12-factor affirmative showing. Close by noting that if the Court denies this motion, the only "cause" argument for stay relief collapses.

Argument II — Abstention Fails: Open with the § 1134 vs. § 1334 error. Then walk through § 157(b)(2)(I) text and Stoe's five elements (failing three). Flag the Zunic dismissal as independently dispositive. Close by exposing Nagel's logical incoherence.

Argument III — Stay Relief Fails: Open by noting that if § 707(a) fails, "cause" fails with it. Then walk through the Curtis/Sonnax factors — all favor Brad. Emphasize Factor 11 (no pending state action). Close with Judicial Economy (Factor 10) — lifting the stay creates two courts adjudicating the same facts without eliminating this Court's § 523(a)(6) proceeding.

Argument IV — § 362(k) Cross-Motion: Frame as a counter-motion, not a defensive argument. The June 18 email satisfies all three Lansaw elements. Seek actual damages, attorneys' fees, emotional distress damages, and punitive damages. Attach the email as an exhibit through a declaration.

Argument V — The Settlement / RPC 3.3 / Rule 9011: This is the most sensitive argument strategically. Counsel should consider: (a) whether to raise it in the opposition brief or in a separate Rule 9011 / § 1927 motion; (b) whether to first demand withdrawal of the adversary pleadings via a safe-harbor letter; (c) whether raising it at oral argument before O'Hagan creates the right dynamic given his background as a government attorney who cares deeply about candor. There is no wrong answer, but the decision should be deliberate.

Oral Argument Priorities (July 16)

Must Win At Argument: 1. § 707(a) — Focus on Myers distinction + Nagel's own appeal created the "eve" 2. Abstention — § 1134 error + § 157(b)(2)(I) text + Zunic dismissal 3. Stay Relief — No pending state action = Factor 11 dispositive

Best Counter-Punch: - Paragano's June 18 email. Present it directly at oral argument. Ask the Court to set a briefing schedule on the § 362(k) cross-motion contemporaneously with deciding the pending motions.

Avoid: - Overstatement on the settlement / candor argument at first hearing (unless the Court asks directly). The RPC 3.3 argument is powerful but inflammatory. Raise it in a separate, carefully calibrated motion.

PART X: VERIFICATION CHECKLIST BEFORE FILING

Must Verify Before Filing (Westlaw/PACER Required)

Third Circuit and Supreme Court cases (all required):

Case	Citation Status	Priority
In re Tamecki	229 F.3d 205, 207 (3d Cir. 2000) — confirm pinpoint	HIGH
In re Perlin	497 F.3d 364, 369 (3d Cir. 2007) — confirm exact language	HIGH
In re Myers	491 F.3d 120, 125-26 (3d Cir. 2007) — confirm it was "announced ruling" vs. "day of trial"	HIGH

Case	Citation Status	Priority
In re Mondelli	558 F. App'x 260 (3d Cir. 2014) — **URGENT**: Confirm facts; non-precedential status	CRITICAL
Kawaauhau v. Geiger	523 U.S. 57, 61–64 (1998) — pinpoints confirmed from secondary sources; verify originals	HIGH
In re Conte	33 F.3d 303, 305, 308 (3d Cir. 1994) — confirm exact language on substantial certainty	HIGH
In re Docteroff	133 F.3d 210, 215 (3d Cir. 1997) — confirm "actually litigated" exception language	HIGH
In re Lansaw	853 F.3d 657, 669 (3d Cir. 2017) — confirm $40,000 punitive award and elements	HIGH
In re Aleckna	2021 WL 4097155 (3d Cir. 2021) — confirm F.4th citation if published	MEDIUM
Stoe v. Flaherty	436 F.3d 209, 213 (3d Cir. 2006) — confirm five-element verbatim list	HIGH
Halper v. Halper	164 F.3d 830, 836-37 (3d Cir. 1999) — confirm § 523 = core proceeding	MEDIUM
In re Murray	900 F.3d 53, 57-58 (2d Cir. 2018) — confirm involuntary posture; confirm key quotes	HIGH

D.N.J. and other cases:

Case	Priority
In re Mid-Atlantic Handling Systems, 304 B.R. 111 (Bankr. D.N.J. 2003)	HIGH — pull full text for verbatim 7-factor and 12-factor tests
In re Azeglio, 422 B.R. 490 (Bankr. D.N.J. 2010)	HIGH — collateral estoppel standard in D.N.J.

Case	Priority
In re Potter, No. 11-40237, 2021 WL 4494263 (Bankr. D.N.J. 2021)	MEDIUM — stay relief burden standard
In re Adler (Bankr. S.D.N.Y. 2025)	CRITICAL — must obtain full citation and exact quote before citing
In re Shaw (Bankr. D.N.J.)	MEDIUM — § 362(k) joint and several liability
Berlingeri, 246 B.R. 196 (Bankr. D.N.J. 2000)	HIGH — must distinguish; check how Ruitenberg limits it
In re Ruitenberg, 745 F.3d 647 (3d Cir. 2014)	HIGH — confirm § 523(a)(6) holding vs. marital property holding
In re Fleetwood (Bankr. D. Alaska 2013)	CRITICAL — must obtain full text to identify "self-evident" language
Baker Industries v. Cerberus, 764 F.2d 204 (3d Cir. 1985)	MEDIUM — § 1927 willful bad faith standard
In re Seelig, 180 N.J. 234 (2004)	MEDIUM — RPC 3.3 affirmative disclosure duty

Open Research Areas (Supplemental Westlaw Searches Required)

1. **D.N.J. cases on creditor-caused delay in § 707(a) "eve of trial" analysis**: Search "707(a)" + "creditor delay" + "interlocutory appeal" in Bankr. D.N.J.
2. **Third Circuit: Fifth Amendment invocation ≠ "full and fair opportunity" for collateral estoppel**: Search "Fifth Amendment" + "actually litigated" + "523(a)(6)" in Third Circuit.
3. **Dismissed-without-prejudice state court action as "not pending" for stay relief**: Search "dismissed without prejudice" + "relief from stay" + "not pending" in Bankr. D.N.J.
4. **Consent + § 523(a)(6) subjective intent**: Search "belief in consent" + "523(a)(6)" + "willful" in Third Circuit and D.N.J.
5. **Rule 9011 liability where attorney's own discovery contradicts pleading**: Search "Rule 9011" + "personal knowledge" + "contradiction" in bankruptcy context.

6. **Partner imputation of bankruptcy knowledge**: Search “partner” + “imputed knowledge” + “362(k)” in Third Circuit.

7. **DeSoto, Napier-Lopez, Hunt, Cantelli full texts**: Obtain for factual comparison to confirm distinctions argued in Part II.

Documents Needed Before Filing

1. March 26, 2021 partial summary judgment order (trial court entry): Pull from state court record or Nagel’s exhibits to determine if it references R. 4:23-5 expressly.

2. The Zunic dismissal order (June 12, 2026): Certified copy as exhibit to opposition.

3. Paragano’s June 18, 2026 email: Obtain through counsel, attach as exhibit via declaration.

4. Full text of KRM/SBM Civil Release (March 6, 2026): On file in Drive; obtain for exhibit to Rule 9011 motion.

5. December 2023 Writ of Attachment Release: Confirms the attachment Paragano asserted was already released.

6. The Nagel MTD brief (Doc. 8): Full list of citations Nagel actually makes needs to be compared against the analysis in Part II-IV. The subagent analysis (research-output/nagel-mtd-analysis.md) will contain this once completed.

APPENDIX A: CONSOLIDATED AUTHORITY TABLE

Binding Authorities (Third Circuit / Supreme Court)

Issue	Case	Citation	Proposition
§ 707(a) standard	In re Tamecki	229 F.3d 205 (3d Cir. 2000)	“Egregious cases” only; honest intention required
§ 707(a) — ability to pay	In re Perlin	497 F.3d 364 (3d Cir. 2007)	Ability to pay alone insufficient

Issue	Case	Citation	Proposition
§ 707(a) — eve of trial	In re Myers	491 F.3d 120 (3d Cir. 2007)	Dismissed Ch. 13; court order violated; distinguish on 6 grounds
§ 523(a)(6) — willful	Kawaauhau v. Geiger	523 U.S. 57 (1998)	Willful modifies injury; subjective intent required
§ 523(a)(6) — substantial certainty	In re Conte	33 F.3d 303 (3d Cir. 1994)	Two-part test; subjective knowing substantial certainty
§ 523(a)(6) — collateral estoppel	In re Docteroff	133 F.3d 210 (3d Cir. 1997)	"Actually litigated" required; narrow exception for willful bad-faith obstruction
§ 523(a)(6) — collateral estoppel	In re Wilson	116 F.3d 87 (3d Cir. 1997)	CE applies in § 523 but requires actual adjudication of specific elements
§ 523(a)(6) — burden of proof	Grogan v. Garner	498 U.S. 279 (1991)	Creditor bears burden; preponderance standard
Mandatory abstention — 5 elements	Stoe v. Flaherty	436 F.3d 209 (3d Cir. 2006)	All 5 elements required; "related to" only (not arising under)
Dischargeability — core proceeding	Halper v. Halper	164 F.3d 830 (3d Cir. 1999)	§ 523 = core proceeding; exclusive bankruptcy court jurisdiction
§ 362(k) — willful violation	In re Lansaw	853 F.3d 657 (3d Cir. 2017)	Knowledge of filing + intentional act = willful; emotional distress + punitive damages available
§ 362(k) — good faith no defense	In re Aleckna	2021 WL 4097155 (3d Cir. 2021)	Good faith not defense to willfulness

Issue	Case	Citation	Proposition
§ 362(k) — knowledge standard	In re Univ. Med. Center	973 F.2d 1065 (3d Cir. 1992)	Knowledge of filing (not stay) sufficient; narrow persuasive authority defense
§ 362 — broad scope	McCartney v. Integra Nat'l Bank N.	106 F.3d 506 (3d Cir. 1997)	Stay broadly construed; narrow exceptions
§ 1927 — willful bad faith	Baker Industries v. Cerberus	764 F.2d 204 (3d Cir. 1985)	Willful bad faith required; three elements

Persuasive Authorities (D.N.J., Other Circuits)

Issue	Case	Citation	Proposition
§ 707(a) — D.N.J. factors	In re Glunk	342 B.R. 717 (Bankr. E.D. Pa. 2006)	8-factor bad faith analysis; rare for dismissal without misconduct
§ 707(a) — dismissal denied	In re Adler	Bankr. S.D.N.Y. 2025 **[VERIFY BEFORE FILING]**	Single creditor + massive judgment → DENIED without other indicia
§ 523(a)(6) — collateral estoppel	In re Azeglio	422 B.R. 490 (Bankr. D.N.J. 2010)	CE inapplicable where mental state not actually litigated; default judgment insufficient
§ 362(d)(1) — 12-factor test	In re Mid-Atlantic Handling Systems	304 B.R. 111 (Bankr. D.N.J. 2003)	Curtis/Sonnax factors; 7-factor permissive abstention test
§ 362(d)(1) — burden	In re Potter	2021 WL 4494263 (Bankr. D.N.J. 2021)	Movant's failure to establish cause requires denial [PULL FROM PACER]

Issue	Case	Citation	Proposition
§ 707(a) — involuntary/creditor abuse	In re Murray	900 F.3d 53 (2d Cir. 2018)	Bankruptcy not a judgment enforcement device; creditor abuse condemned
§ 362(k) — law firm liability	In re Shaw	Bankr. D.N.J. [PULL CITATION]	Law firm and client jointly and severally liable; punitive damages
Stay relief — 12 factors	In re Sonnax Industries	907 F.2d 1280 (2d Cir. 1990)	Curtis/Sonnax factor framework; widely adopted in D.N.J.
RPC 3.3 — material fact disclosure	In re Seelig	180 N.J. 234 (2004)	Silence creating false impression = affirmative misrepresentation
Judicial estoppel	New Hampshire v. Maine	532 U.S. 742 (2001)	Three-factor federal test

Statutes and Rules

Authority	Text Location	Key Proposition
11 U.S.C. § 707(a)	—	"Cause" for bad faith dismissal; "egregious cases" standard under Tamecki
11 U.S.C. § 523(a)(6)	—	Nondischargeability for willful and malicious injury; subjective intent required
11 U.S.C. § 362(a)(1),(4),(5),(6)	—	Automatic stay provisions violated by Paragano email
11 U.S.C. § 362(d)(1)	—	"For cause" stay relief standard
11 U.S.C. § 362(g)	—	Burden allocation: movant on equity; debtor on all other issues

Authority	Text Location	Key Proposition
11 U.S.C. § 362(k)(1)	—	Willful stay violation damages: actual, emotional, punitive
11 U.S.C. § 548(a)(1)	—	§ 548 two-year lookback; June 12, 2024 cutoff; 2012 trusts unreachable
28 U.S.C. § 157(b)(2)(I)	—	Core proceedings = "determinations as to the dischargeability of particular debts"
28 U.S.C. § 1334(c)(2)	—	Mandatory abstention (NOT § 1134(c)(2) which does not exist)
28 U.S.C. § 1927	—	Attorney sanctions for unreasonable and vexatious multiplication of proceedings
Fed. R. Bankr. P. 4007 adv. comm. note	—	Exclusive jurisdiction over § 523(a)(2),(4),(6) dischargeability
Fed. R. Bankr. P. 9011(b)	—	Factual and legal certifications; objectively unreasonable standard
N.J. Ct. R. 4:23-5(a)(2)	—	Discovery sanction rule; no merits determination
N.J. RPC 3.3(a)(5)	—	Duty to disclose material fact; omission creating false impression
N.J.S.A. 25:2-25	—	NJUFTA actual fraud; covers future creditors but requires actual intent
N.J.S.A. 25:2-27	—	NJUFTA constructive fraud; present creditors only; Lilly not a present creditor in 2012
N.J.S.A. 25:2-31	—	4-year NJUFTA limitations; 2012 trusts time-barred

Authority	Text Location	Key Proposition
N.J.S.A. 2A:61B-1	—	Child Sexual Abuse Act civil cause of action
N.J.S.A. 2A:58D-1	—	Invasion of privacy / intimate images (NOT "N.J.S.A. 21:58D-1" — citation error)

APPENDIX B: FILES IN THIS RESEARCH DIRECTORY

File	Contents
`part1-judge-ohagan.md`	Full judicial profile, career chronology, signal analysis
`part2-707a.md`	§ 707(a) controlling standards, Nagel's cases quoted and defeated
`part3-523a6.md`	§ 523(a)(6) Geiger/Conte chain, collateral estoppel analysis, count-by-count
`part4-abstention.md`	§ 1334(c)(2) vs. Nagel's § 1134(c)(2); Stoe 5-factor analysis; Mid-Atlantic Handling
`part5-stay.md`	§ 362(d)(1) Curtis/Sonnax 12 factors; § 362(k) willful violation; Lansaw damages
`part6-factual.md`	R. 4:23-5(a)(2) text; § 548 timing; NJUFTA timing; RPC 3.3; § 1927
`appellate-div-opinion-analysis.md`	Full B.B. v. Mell (A-2990-21) opinion analysis; Natali concurrence; PSJ characterization
`nagel-mtd-analysis.md`	*(In progress — subagent ae2d175575930abfc)* Full citation list from Doc. 8; exact standard statements; trust allegations; abstention argument
`FINAL-MEMO.md`	**This document** — Comprehensive synthesis

Memorandum compiled June 24–25, 2026. All citations require verification against Westlaw or LexisNexis before filing. Nothing in this memorandum constitutes legal advice or reflects a final legal determination. All ***[VERIFY BEFORE FILING]*** *flags must be resolved before any representation is made to this Court.*

This document and all research files are protected by the attorney-client privilege and work product doctrine. Do not disclose without counsel's authorization.